

AI IN BUSINESS

When AI initiatives stall

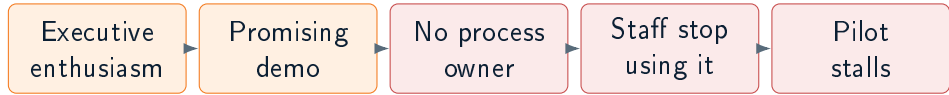
Less-known cases of inertia, weak leadership, and employee resistance

European and Chinese examples, plus a
practical diagnostic

AI in Business course

The quiet failure pattern

Most initiatives do not die in the model. They die in the organization.



The organization interprets non-use as a technology problem, then buys another tool.

Failure modes that small firms feel first

Failure mode	What it looks like	Early warning signal
Inertia	The old spreadsheet, approval chain, or hand-off remains the real system.	Users export the AI output and continue with the old process.
Weak leadership	A sponsor approves a pilot but nobody owns the decision after launch.	Questions about exceptions go unanswered.
Employee resistance	The tool is presented as surveillance, deskilling, or a head-count plan.	People avoid entering data or quietly route around the tool.
Missing foundations	Data is fragmented, undocumented, or inaccessible to the team that must use it.	The demo works only on a hand-cleaned sample.
Bad economics	Cloud, vendor, and human-review costs sit outside the pilot budget.	Usage grows faster than contribution margin.

Case 1: Finnish health-tech SMEs

Real opportunity, no easy transition

A 2025 case study interviewed six Finnish health-tech companies. Most saw AI as important, but remained in early adoption stages because data, regulation, talent, cost, and clinical acceptance were unresolved.

Firm	Sticking point
1	Fundus-image automation looked promising, but the company lacked enough training data.
2	Doctors were skeptical of an AI “colleague”; an external project priced at €300–400k was too large for a small business.
6	Seizure prediction was a plausible future use, but cost and certification kept the firm at the “AI curious” stage.

The failure is often a stalled transition, not a failed algorithm.

Case 2: AI before digital foundations

1,600

business leaders surveyed

46%

reported daily AI use

The paradox

Many European SMEs were experimenting with tools such as ChatGPT while still lacking basic digital systems for accounting, documents, analytics, or collaboration.

Why it stalls

AI is layered onto disconnected work. Nobody can tell whether a gain came from the tool, a one-off workaround, or unpaid employee effort. The pilot looks active while the operating model stays unchanged.

Case 3: Builder.ai

When the story outruns the operating truth

2016founded

2019–24AI claims questioned

Feb 2025CEO changes

May 2025insolvency

Public reporting described rapid staff turnover, customer complaints about delivery, a change in leadership, and an internal investigation into potentially bogus sales before the company entered insolvency.

Failure mode

Hype substitutes for operational evidence. The board and investors cannot distinguish an AI product from a labor-intensive service wrapped in AI language.

Lesson: leadership quality is part of the AI system.

Case 4: Hangzhou labor dispute

The decision

An unnamed Hangzhou tech company told Zhou, a quality-assurance supervisor for large language models, that AI could do his job. It offered a demotion and a 40% pay cut. Zhou refused, and the company fired him.

The employee's "resistance" was a response to the transition design.

¥260,000

compensation ordered by the Hangzhou
Intermediate People's Court

What leadership missed

The tool may improve productivity, but the employer still has to design new roles, explain decision rights, and absorb part of the transition cost. A replacement message can turn useful expertise into opposition.

Case 5: Adoption without trust is fragile

71%

of 455 Chinese veterinary professionals reported using AI

81.5%

of respondents were clinicians

The tension

Chinese practitioners showed strong, bottom-up use of AI for clinical tasks, even though familiarity was lower than adoption. Reliability and accuracy remained the leading concern.

Why this matters for small companies

A mandate can create usage. It cannot create trust in the output. Local professionals still need a way to challenge, correct, and learn from the system.

A smaller-company contrast: Donecle

The use case

The Toulouse startup combined drones, computer vision, and machine learning to inspect aircraft exteriors for defects. The operational design

The system produced a damage report. A qualified inspector reviewed and accepted or rejected the diagnosis.

20 min

reported inspection time, versus roughly 6–10 hours for a conventional inspection

Narrow scope

A repeated, visible inspection task.

Trusted role

The inspector remained accountable for the final decision.

Measurable value

Time, staffing, and aircraft downtime could be compared with a baseline.

Success case 2: Fourier

AI augmented a workflow with a human owner.

From gadget to care pathway

Shanghai-based Fourier supplies rehabilitation robots and connected care systems. At Gaohang Community Rehabilitation Center, the solution has been used since 2022; the center reports serving more than 4,600 patients since its introduction.

Repetitive exercises moved to the robot;
complex cases stayed with therapists.

300+

clinical departments reported as using the solution nationwide

Human role

Therapists handle complex cases, personalization, and counseling.

Adoption logic

The system fits an existing service rather than replacing it.

Lesson

Trust grows when accountability remains visible.

Success case 3: TOMAN

An integrator lowered adoption risk for a cluster of small firms.

The intervention

TOMAN, founded in Zhejiang in 2006, helped ball-bearing manufacturers connect equipment and introduce quality-control and machine-management systems. A county-backed trial reduced adoption risk.

Trial first. Replication second.

12,753

machines modified using connected production systems

Reach	Solutions provided to more than 160 firms.
Economics	Average modification cost was about CNY 0.23m; interviews suggested payback within one year.
Lesson	An intermediary supplied missing expertise, integration, and confidence.

The anti-failure design

A small initiative becomes durable when five decisions are explicit.

1 Owner

Who decides when the model is wrong?

2 Workflow

What changes in the daily process?

3 Employee deal

What improves for the people doing the work?

4 Evidence

What baseline and metric justify scale?

5 Exit

When do we stop or redesign it?

If employees cannot answer “what happens to my work?” the organization has not finished designing the initiative.

Where is your initiative stuck?

Observed symptom	Likely organizational cause	First diagnostic question
The pilot works, but nobody uses it.	Inertia or missing workflow owner.	Which old step disappears tomorrow?
Data entry gets worse after launch.	Employee resistance or no local benefit.	Who carries the extra work, and what do they get back?
Leaders ask for more demos.	No decision right or no measurable baseline.	What decision will the next demo change?
Usage rises while costs rise faster.	Bad unit economics or vendor dependence.	What is the fully loaded cost per useful decision?
Users ignore high-confidence alerts.	Trust, calibration, or accountability gap.	Who can challenge the output, and how is feedback recorded?

Diagnose the operating failure before tuning the model.

Class exercise: rescue the pilot

The situation

A 70-person manufacturer buys a predictive-maintenance system. The model produces alerts, but technicians ignore most of them. The owner visits once a month, the plant manager cannot change the maintenance process, and workers worry that “fewer breakdowns” means fewer jobs.

Questions

1. What is the primary failure mode?
2. What decision should the pilot change?
3. Who owns the exception process?
4. What is the employee deal?
5. What metric would justify scaling?

Deliverable: one-page redesign, not a better model.

Takeaway and sources

The takeaway

In smaller organizations, AI failure is usually visible as a human and operating problem: nobody owns the transition, the old process survives, employees protect themselves, or the economics never close.

A working model is necessary. It is not sufficient.

Selected sources

- ▶ Alnajjar et al. (2025), Finnish health-tech SMEs: [arXiv:2503.14527](#).
- ▶ Reuters (2025), European SME digital foundations: Reuters.
- ▶ Financial Times (2025), Builder.ai leadership and insolvency: leadership; insolvency.
- ▶ The Guardian (2026), Hangzhou labor case: Guardian.
- ▶ Li and Lai (2025), Chinese veterinary professionals: [arXiv:2510.11758](#).
- ▶ Donecle, public aircraft-inspection demonstration: video.
- ▶ Fourier Intelligence and Shanghai rehabilitation case: Fourier; Shanghai.
- ▶ Engineering (2020), Chinese smart-manufacturing pathways and TOMAN: Engineering.
- ▶ Hussain and Rizwan (2024), strategic AI adoption in SMEs: [arXiv:2408.11825](#).

Accessed 9 September 2026.

Anonymized cases are labeled as such; evidence and interpretation are kept separate.